

Budget Battles

When the numbers don't add up

Video call, 9 PM. Ren is at his apartment desk, takeout containers pushed aside. Saki's background is her office — still at Kurosawa Digital. Director Kudo joins from what appears to be a restaurant, his camera angled upward.

Director Kudo (工藤) "I've reviewed the **cost estimate**. The board expects this project to come in under ¥45M. The number you're showing me is ¥51M. I trust the team to find efficiencies."

→ Director Kudo is applying stakeholder pressure without specifying where to cut — a common pattern that forces PMs to absorb the gap between ambition and reality.

Ren (蓮) "Director Kudo, the ¥51M includes the **contingency reserve** for the vendor pricing risk we flagged. If we strip that out, we're betting nothing goes wrong."

Saki (咲希) "The **cost baseline** needs to reflect realistic spending. If we approve an artificially low number, every status report will show a **cost variance** (the difference between what we've earned and what we've actually spent). We'd be measuring failure by design."

→ *Cost management* depends on honest baselines. A cost baseline set below actual needs doesn't save money — it just makes every report look like a crisis.

Director Kudo (工藤) "Let's be strategic about this. Show me what the project has delivered versus what it's spent. Not projections — actuals."

Ren (蓮) "Okay, so our **planned value** (the authorized **budget** for work we should have finished by now) is ¥6.2M. Our **actual cost** (what we've really spent) is ¥6.8M. And the **earned value** (the value of work actually completed) is about ¥5.9M."

→ These three values — **planned value**, **actual cost**, and **earned value** — are the foundation of cost performance measurement. Together they reveal whether a project is on budget, over budget, or behind in delivering value.

Saki (咲希) "So we're spending more than planned and delivering less than planned. The **cost variance** is negative. That's the honest picture."

Director Kudo (工藤) "Fix the trend. I'll give you until the Phase 1 review to show improvement. But the ¥48M ceiling holds."

Ren (蓮) "Understood. We'll tighten the **schedule** to pull some **earned value** forward and reassess the vendor contracts."

Director Kudo dropped off the call. An awkward silence. Then Saki's email arrived: a spreadsheet breaking down where ¥3M could be saved without touching contingency. Subject line: "Options — for your review." She signed off: "Good night, Ren." Not "Regards, Sakurai." He read it three times.

Cost Variance

DEFINITION The difference between earned value and actual cost.

COMPONENTS Formula: $CV = EV - AC$; positive = under budget; negative = over budget; used for trend analysis.

RELATED earned value, actual cost, **budget**

EXAMPLE The XR project's CV is $¥5.9M - ¥6.8M = -¥0.9M$ — they've overspent relative to the value they've delivered.

Earned Value

DEFINITION The value of work actually completed.

COMPONENTS Measured against **cost baseline**; reflects progress, not spending; basis for performance indices.

RELATED planned value, actual cost, cost variance

EXAMPLE Although ¥6.8M was spent, only ¥5.9M worth of work was completed — earned value reveals the project is behind on delivery, not just over on cost.

Planned Value

DEFINITION The authorized budget assigned to scheduled work.

COMPONENTS Time-phased from **cost baseline**; cumulative over time; represents what should be done by a given date.

RELATED earned value, **cost baseline**, **schedule**

EXAMPLE By end of Month 1, ¥6.2M of work was planned — that's the yardstick against which earned value is compared.

Actual Cost

DEFINITION The realized cost for work performed during a specific time period.

COMPONENTS All direct and indirect costs incurred; includes labor, materials, overhead; no ceiling — it's what was actually spent.

RELATED earned value, cost variance, **budget**

EXAMPLE The ¥6.8M actual cost includes developer salaries, vendor deposits, and equipment — ¥600K more than planned, partly from the vendor pricing

volatility.

Review Corner

1 The Allocation Bind

Ren (蓮) "If we move the junior developer to the content pipeline, she'll finish in three weeks. But that leaves Tetsu alone on the rendering engine — and he's already on the **critical path**."

Saki (咲希) "Then the question isn't 'can she do it.' It's 'what breaks if Tetsu has zero **float**?'"

→ Schedule management & critical path (Unit 9): Moving resources away from critical-path activities eliminates float and increases project risk.

2 Estimation Revisited

Saki (咲希) "Your **cost estimate** for the API integration is a single number. No range, no assumptions documented. How confident are you?"

Ren (蓮) "Honestly? It's a gut feel. I should have used three-point estimation like Hina suggested for the rendering engine."

→ Resource planning & estimation (Unit 10): Single-point estimates hide uncertainty. Range-based estimates force the team to think about best, likely, and worst cases.

3 The Budget Shield

Ren (蓮) "Director Kudo wants to cut the **contingency reserve** to hit his number. But that's the only buffer between us and the vendor risk we identified."

→ Cost management (Unit 11): Contingency reserves exist for identified risks. Cutting them doesn't remove the risk — it removes the safety net.